

14-3c Why Do Competitive Firms Stay in Business If They Make Zero Profit?

At first, it might seem odd that competitive firms earn zero profit in the long run. After all, people start businesses to make a profit. If entry eventually drives profit to zero, there might seem to be little reason to stay in business.

“We’re a nonprofit organization—we don’t intend to be, but we are!”

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To understand the zero-profit condition more fully, recall that profit equals total revenue minus total cost and that total cost includes all the opportunity costs of the firm. In particular, total cost includes the time and money that the firm owners devote to the business. In the zero-profit equilibrium, the firm’s revenue must compensate the owners for these opportunity costs.

Consider an example. Suppose that, to start his farm, a farmer had to invest \$1 million, which otherwise he could have deposited in a bank and earned \$50,000 a year in interest. In addition, he had to give up another job that would have paid him \$30,000 a year. Then the farmer’s opportunity cost of farming includes both the interest and the wages he could have earned—a total of \$80,000. Even if his profit is driven to zero, his revenue from farming compensates him for these opportunity costs.

Keep in mind that accountants and economists measure costs differently. As we discussed in the previous chapter, accountants keep track of explicit costs but not implicit costs. That is, they measure costs that require an outflow of money from the firm, but they do not include the opportunity costs of production that do not involve an outflow of money. As a result, in the zero-profit equilibrium, economic profit is zero, but accounting profit is positive. Our farmer’s accountant, for instance, would conclude that the farmer earned an accounting profit of \$80,000, which is enough to keep the farmer in business.

